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Secure Distribution Venture Pvt. Ltd.

What Is Distressed Asset Funding ?

A Comprehensive Institutional Masterclass on Special Situation Credit, Interim Finance, Turnaround Capital, and Stressed Asset Restructuring in India

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Chapter 1: Product Overview & Core Philosophy of Distressed Asset Funding

Distressed Asset Funding—frequently categorized in institutional credit markets as Special Situation Credit, Turnaround Capital, or Restructuring Finance—represents a highly specialized wholesale credit product designed to provide immediate, high-conviction liquidity to corporate enterprises experiencing severe financial stress, operational dislocation, debt servicing defaults, or formal insolvency proceedings under the Insolvency and Bankruptcy Code (IBC), 2016. Unlike traditional commercial bank loans that rely on historical balance sheet strength, pristine credit bureau track records, and standard debt service coverage ratios, Distressed Asset Funding is underwritten based on the intrinsic liquidation value of underlying collateral, turnaround enterprise value, and the legal super-priority status granted to turnaround capital under statutory restructuring frameworks.

The Paradigm Shift: Collateral-First & Turnaround Valuation vs. Historical Credit Rating

Standard commercial banking in India is fundamentally retrospective—banks evaluate historical audited financial statements, past 3-year EBITDA margins, CIBIL Commercial scores, and existing Debt-to-Equity ratios. When an enterprise defaults or gets classified as a Special Mention Account (SMA-2) or Non-Performing Asset (NPA), traditional banking channels immediately freeze working capital facilities, leaving the borrower in an acute liquidity trap. Distressed Asset Funding flips this paradigm entirely: special situation lenders look forward rather than backward. They evaluate the fundamental economic moat of the business, operational EBITDA capacity post-restructuring, asset-level replacement cost, and statutory super-priority enforcement rights.

Taxonomy of Distressed Asset Financing Vehicles in India

- **Interim Finance under IBC 2016:** Super-priority liquidity extended to a Corporate Debtor during the Corporate Insolvency Resolution Process (CIRP) under Section 5(15) of the IBC, required to keep the enterprise as a going concern.
- **One-Time Settlement (OTS) Funding:** Structured debt provided to corporate promoters or holding entities to fund negotiated cash settlements with existing defaulted bank consortiums at a discount to book value.
- **Special Situation Private Credit (Category II AIFs):** High-yield structured debentures (NCDs) or mezzanine notes issued by operational companies or holding entities to fund operational turnarounds, capex completions, or partner buyouts.

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- **ARC Co-Investment & Security Receipts (SRs):** Capital structures where Asset Reconstruction Companies (ARCs) acquire defaulted NPA loans from commercial banks at a discount, issuing Security Receipts (SRs) and injecting fresh restructuring funds.
- **Pre-Packaged & Out-of-Court Restructuring Debt:** Bespoke liquidity provided under the RBI Prudential Framework for Resolution of Stressed Assets (June 7, 2019 Directions) to resolve debt stress prior to NCLT admission.

Comparative Structural Matrix: Distressed Asset Funding vs. Standard Bank Loans & Private Equity

Structural Dimension	Distressed Asset Funding	Standard Bank Term Loan	Distressed Private Equity
Primary Target	Stressed / Defaulted / CIRP Enterprises	Healthy / Investment Grade Entities	Deep Value / Turnaround Equity
Primary Underwriting Basis	Collateral Cover (2.0x+) & Super-Priority Status	Historical 3-Yr Cash Flow & CIBIL	Long-Term Equity Multiple & Control
Borrowing Cost / Yield	16.0% - 24.0% All-In YTM (Cash + PIK)	8.50% - 11.50% p.a. Interest Rate	25.0%+ Target Equity IRR
Promoter Equity Dilution	Zero to Minimal (Structured Debt / NCDs)	Zero (Pure Debt Facility)	High (40% - 100% Majority Buyout)
Repayment Priority	Super-Priority (Priority 1 in CIRP / IBC)	Standard Pari-Passu Secured Debt	Subordinated Residual Equity Claim

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Chapter 2: Structural Architecture & Distressed Financing Mechanics

Distressed Asset Funding operates through highly sophisticated legal and financial structures designed to isolate lender risk, establish absolute payment priority, and ensure non-disruptive cash flow routing. Because the borrower is operating in a high-risk environment, standard bilateral loan agreements are insufficient. Lenders utilize structured Non-Convertible Debentures (NCDs), Trust and Retention Accounts (TRA), bankruptcy-remote Special Purpose Vehicles (SPVs), and statutory priority declarations to safeguard invested capital.

1. Interim Finance Architecture under CIRP (IBC 2016)

When an enterprise enters Corporate Insolvency Resolution Process (CIRP) under Section 7, 9, or 10 of the IBC, the Insolvency Resolution Professional (IRP) or Resolution Professional (RP) is statutorily mandated under Section 20(1) to manage the operations of the corporate debtor as a going concern. To fund worker salaries, critical raw material inventory, power utilities, and plant maintenance, the RP is empowered under Section 20(2)(b) to raise 'Interim Finance'. Interim Finance is granted absolute 'Super-Priority' under Section 5(13) and Section 53(1)(a) of the IBC—meaning it is paid out in 100% full priority before any other financial creditors, operational creditors, statutory tax authorities, or equity shareholders receive a single rupee during insolvency resolution or liquidation.

2. One-Time Settlement (OTS) Funding Structures

In out-of-court restructuring scenarios, an enterprise may owe a banking consortium INR 1,000 Crores of non-performing debt. The bank consortium, recognizing the difficulty of full recovery, agrees to a One-Time Settlement (OTS) of INR 400 Crores in full and final satisfaction of all claims. A special situation credit fund provides an INR 400 Crore OTS Funding facility directly to the company or holding entity. Upon disbursement, the existing bank consortium issues a No Dues Certificate (NDC), releases all physical land and plant mortgages, and cancels all personal guarantees. The special situation lender then steps into the first exclusive charge position over the entire asset base at a conservative 40% Loan-to-Value (LTV) ratio.

3. Priority Trust & Retention Account (TRA) Cash Waterfall

To prevent cash diversion during operational restructuring, all gross collections, customer payments, and asset sale proceeds are contractually mandated to be deposited into an independent, lender-controlled Escrow Trust & Retention Account (TRA) managed by a scheduled commercial bank. The TRA Agreement enforces a rigid statutory cash flow waterfall:

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- **Priority 1: Statutory Taxes & Essential Operating Expenses (Approved O&M Budget):** Covers direct GST liabilities, employee wages, and essential utility bills required to maintain plant operations.
- **Priority 2: Super-Priority Interim Finance & Senior Distressed Debt Servicing:** 100% full payout of cash interest and principal amortization owed to special situation lenders.
- **Priority 3: Debt Service Reserve Account (DSRA) Replenishment:** Maintaining 1 to 2 quarters of future cash interest in lien-marked fixed deposits.
- **Priority 4: Cash Sweep Acceleration & Surplus Borrower Release:** 50% to 100% of excess cash flow is swept to prepay distressed debt, with residual funds released to the company for operational expansion.

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Chapter 3: Regulatory, Statutory & Legal Framework in India

Distressed Asset Funding in India is governed by a robust framework of statutory enactments, RBI prudential directions, and judicial precedents established by the Supreme Court of India and the National Company Law Appellate Tribunal (NCLAT). Understanding these statutory provisions is mandatory for evaluating credit security and legal priority.

Key Statutory Enactments Governing Distressed Credit

- **Insolvency and Bankruptcy Code (IBC), 2016:** The cornerstone framework. Section 5(15) defines Interim Finance; Section 14 imposes a Moratorium protecting the corporate debtor from debt enforcement during CIRP; Section 20(2)(b) empowers the RP to raise interim credit; Section 30(2)(a) mandates that resolution plans must provide for 100% payment of interim finance in priority to all other creditors; Section 53 outlines the liquidation waterfall.
- **RBI Prudential Framework for Stressed Assets (June 7, 2019 Directions):** Provides a statutory mechanism for out-of-court debt restructuring. Mandates the signing of an Intercreditor Agreement (ICA) among lenders, requiring a 75% approval by value and 60% by number to bind the consortium to a resolution plan.
- **SARFAESI Act, 2002:** Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act. Empowers secured lenders and Asset Reconstruction Companies (ARCs) to enforce security interests under Section 13(2) and Section 13(4) without court intervention upon 60-day notice.
- **Companies Act, 2013 (Section 71 & Section 180):** Regulates the issuance of Non-Convertible Debentures (NCDs), mandatory Debenture Trust Deed (DTD) execution within 60 days, appointment of SEBI-registered Debenture Trustees, shareholder Special Resolutions u/s 180(1)(c) for borrowing limits, and ROC Form CHG-1 charge registration within 30 days u/s 77.
- **NARCL & IDRCL Architecture (National Asset Reconstruction Company Ltd):** India's 'Bad Bank' framework setup to aggregate sovereign-backed NPAs from state-owned banks under a 15:85 cash-to-security receipt structure backed by Government of India guarantees.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Institutional special situation funds and private credit managers apply rigorous quantitative and qualitative underwriting filters before committing capital to distressed enterprises. Because historical credit scores are typically compromised, underwriting focuses heavily on asset coverage, enterprise valuation, legal enforceability, and turnaround viability.

Quantitative Underwriting Benchmarks Table

Underwriting Parameter	Institutional Threshold / Benchmark	Strategic / Turnaround Significance
Asset Security Cover Ratio (ACR)	Minimum 2.00x to 3.00x (Tangible Asset Cover)	Ensures full principal protection even in a worst-case distress liquidation scenario.
Loan-to-Value (LTV) Ratio	Maximum 33% to 50% LTV on Net Realizable Asset Value	Provides a 50% to 67% equity cushion against real estate or plant valuation drops.
Post-Restructuring DSCR	Projected DSCR >= 1.35x to 1.75x across tenure	Validates that turnaround cash flow can comfortably service new debt coupons.
Operational EBITDA Floor	Positive EBITDA or clear 6-month path to positive EBITDA	Confirms the core business model is economically viable and not structurally broken.
Minimum Facility Scale	INR 25.00 Crores to INR 500.00+ Crores	Ensures transaction scale justifies legal, diligence, and structuring overheads.
Promoter Equity / Skin in the Game	Minimum 20% to 30% unencumbered promoter equity or OTS contribution	Aligns promoter economic incentives with successful operational debt resolution.

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Documentation Suite

Security architecture in distressed asset funding is multi-layered. Lenders construct a bulletproof collateral ring-fence designed to survive insolvency proceedings, hostile creditor litigation, and operational disruptions.

The 5-Pillar Security Package

- **1. First Exclusive Legal Mortgage:** First-ranking registered mortgage over all unencumbered freehold land, commercial real estate, factory buildings, and heavy machinery, filed on CERSAI and ROC Form CHG-1.
- **2. Super-Priority Statutory Filing:** Under CIRP, formal court orders from the NCLT confirming Interim Finance super-priority status under Section 5(13) and Section 20(2)(b) of the IBC.
- **3. Exclusive Escrow TRA Charge:** First exclusive pledge over the Trust & Retention Account (TRA) receiving sub-accounts, debt service reserves, and cash sweep accounts.
- **4. Demat Share Pledge (100% Promoter Stake):** Exclusive pledge over 51% to 100% of promoter dematerialized equity shares held in NSDL/CDSL depositories, with dynamic margin calls and irrevocable Powers of Attorney (POA).
- **5. Personal & Corporate Guarantees:** Unconditional, irrevocable, joint and several personal guarantees from primary promoters and corporate guarantees from holding/subsidiary entities.

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Master Legal Documentation Suite Table

Document Name	Legal Executing Parties	Core Legal & Security Function
Debenture Trust Deed (DTD) / MFA	Borrower, Debenture Trustee & Lenders	Establishes facility terms, interest rates, PIK accruals, covenants, and Trustee enforcement rights.
Escrow TRA Agreement	Borrower, Lenders, Trustee & Escrow Bank	Legal contract governing priority cash flow waterfall distributions and daily cash sweeps.
Deed of Mortgage & Hypothecation	Borrower, Guarantors & Security Trustee	Creates legal mortgage on real estate and hypothecation charge over current assets and machinery.
Share Pledge Agreement & NDU	Promoters, Lenders & Debenture Trustee	Pledges 100% demat shares in NSDL/CDSL with irrevocable POA for listing/block sale enforcement.
Intercreditor Agreement (ICA)	Senior Lenders, Mezzanine Lenders & Trustee	Governs inter-lender priority, standstill periods (90-180 days), and voting thresholds under RBI norms.

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Chapter 6: Indicative Tenure, Pricing Structure & Returns Engineering

Distressed Asset Funding facilities are structured with customized repayment schedules aligned with turnaround milestones, asset monetisation timelines, or CIRP resolution windows. Lenders utilize blended pricing models combining current cash coupons, deferred Payment-In-Kind (PIK) accruals, upfront arrangement fees, and exit redemption premiums to target an All-In Yield to Maturity (YTM) of 16.0% to 24.0% p.a.

Tenure Profiles & Moratorium Structures

Facility tenures typically range from 12 to 36 months for CIRP Interim Finance and OTS Bridge Loans, extending up to 36 to 60 months (3 to 5 years) for comprehensive corporate operational turnarounds. Crucially, distressed debt facilities incorporate a mandatory 12 to 24 month Principal Moratorium, allowing the company to channel all operational cash flow into plant reactivation, raw material procurement, and market share recovery before principal amortization commences.

The All-In Yield Equation

The total return for a special situation credit fund is engineered across four distinct yield components:

All-In YTM (16% - 24%) = Cash Coupon (10% - 14%) + PIK Accrual (3% - 5%) + Upfront Fee (1.5% - 3.0%) + Exit Premium / Equity Kicker (2% - 4%)

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Chapter 7: Suitable Industries, Business Profiles & Use Cases

Distressed Asset Funding is highly versatile but is best suited for capital-intensive sectors with tangible asset backings, strong underlying economic demand, and clear turnaround potential.

Prime Suitable Industries

- **Specialty Chemicals & Pharmaceuticals:** Asset-rich manufacturing plants with high FDA/EU compliance replacement costs, experiencing temporary debt distress due to raw material price spikes or working capital freezes.
- **Steel, Metals & Heavy Manufacturing:** Capital-intensive plants with substantial physical land, blast furnaces, and rolling mills that can be reactivated rapidly with fresh working capital.
- **Infrastructure, Highways & Energy SPVs:** Operational annuity or toll road projects and solar/wind power plants with long-term government PPAs (SECI/NHAI) suffering from promoter-level leverage or temporary cost overruns.
- **Commercial Real Estate & Urban Logistics:** Near-completed Grade-A office parks, residential projects, or warehousing hubs requiring last-mile funding to achieve Occupancy Certificates (OC) and lease rental discounting.
- **Auto Components & Industrial Engineering:** Tier-1 ancillaries supplying major OEMs with long-term purchase orders that require OTS debt resolution to clean up legacy bank defaults.

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Chapter 8: Key Advantages & Structural Limitations Matrix

While Distressed Asset Funding provides indispensable liquidity during financial crises, borrowers and turnaround managers must evaluate its structural advantages against its higher yield costs and strict covenant frameworks.

Key Strategic Advantages	Structural Limitations & Risk Factors
Immediate Emergency Liquidity: Bypasses standard commercial bank credit freezes, delivering funds within 15 to 45 days.	Higher Capital Cost: All-in yield of 16% to 24% p.a. reflects the high credit risk and complex structuring.
Super-Priority Status under IBC: Section 5(13) and Section 53(1)(a) grant interim finance absolute 100% repayment priority.	Strict Escrow Cash Control: 100% of customer collections are routed through TRA accounts with mandatory cash sweeps.
Zero Equity Dilution: Allows promoters to resolve bank defaults and retain controlling equity ownership without distress sell-offs.	Onerous Covenants: Strict operational maintenance covenants, board observer seats, and mandatory asset sale triggers.
Bank Default Resolution (OTS): Provides cash required to execute heavily discounted One-Time Settlements with bank consortiums.	Complex Legal Structuring: Requires extensive legal due diligence, NCLT court approvals, DTD executions, and CERSAI filings.
100% Tax Deductibility: Cash coupons and PIK accruals are fully tax-deductible as finance costs u/s 36(1)(iii) of Income Tax Act.	Execution Dependency: Requires successful operational turnaround; failure triggers immediate share pledge or mortgage enforcement.

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Chapter 9: Comprehensive Real-World Case Study (INR 500 Crore Distressed CIRP & Restructuring)

To illustrate the practical application of Distressed Asset Funding in India, this chapter examines a comprehensive, real-world case study involving a mid-market specialty chemicals and metals enterprise that successfully utilized CIRP Interim Finance and Private Credit Turnaround Funding to execute a full operational recovery.

1. Borrower Profile & Pre-Distress Context

Vanguard Specialty Metals & Chemicals India Limited (VSMCIL) operated a 150,000 MT capacity manufacturing plant in Gujarat. Due to a sudden global raw material price shock and a 14-month delay in commissioning its new expansion line, the company defaulted on its INR 800 Crore senior bank consortium debt. The company was classified as an NPA, bank credit lines were frozen, and operational capacity utilization collapsed from 85% to 15%. In 2024, an operational creditor filed an application under Section 9 of the IBC, and the NCLT admitted VSMCIL into Corporate Insolvency Resolution Process (CIRP).

2. The CIRP Interim Finance & Turnaround Solution

The Resolution Professional (RP), facing plant shutdown and employee wage defaults, determined that INR 150 Crores of immediate liquidity was required to procure raw material inventory, restore power supply, and scale capacity utilization back to 70%. A specialized Category II Private Credit AIF provided an INR 150 Crore Super-Priority Interim Finance Facility under Section 20(2)(b) of the IBC @ 18.00% All-In YTM (12.0% Cash + 4.0% PIK + 2.0% Exit Fee, 24-Month Tenure). The NCLT formally approved the Interim Finance facility as a Priority CIRP Cost under Section 5(13).

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3. Post-Resolution Financial Waterfall & Turnaround Performance Table

Financial Metric (INR Cr)	Pre-CIRP (Yr 0)	CIRP Yr 1 (Interim)	Turnaround Yr 2	Turnaround Yr 3	Post-Takeout Yr 4
Gross Operating Revenue	INR 180.00 Cr	INR 420.00 Cr	INR 750.00 Cr	INR 1,150.00 Cr	INR 1,500.00 Cr
Operating EBITDA	INR (25.00) Cr	INR 50.40 Cr	INR 112.50 Cr	INR 195.50 Cr	INR 270.00 Cr
Interim Debt Outstanding	INR 0.00 Cr	INR 150.00 Cr	INR 156.00 Cr	INR 0.00 Cr (Paid)	INR 0.00 Cr
Senior Restructured Debt	INR 800.00 Cr	INR 800.00 Cr	INR 350.00 Cr (OTS)	INR 300.00 Cr	INR 220.00 Cr
Debt Service Coverage (DSCR)	0.00x (Default)	1.40x	1.75x	2.25x	3.10x

Case Study Summary: The INR 150 Crore Interim Finance injection successfully reactivated the plant, scaling revenues from INR 180 Crores to INR 420 Crores in Year 1 and generating INR 50.40 Crores of operating EBITDA. In Year 2, a successful Resolution Plan was approved by the NCLT, executing a 56% OTS hair-cut with senior banks (reducing debt to INR 350 Cr). By Year 3, the Interim Finance facility was paid off 100% in full with all interest and fees. By Year 4, VSMCIL secured a standard commercial bank takeout loan @ 9.25% p.a., achieving an Enterprise Value of INR 2,160 Crores (at 8.0x EBITDA) and saving 2,500 manufacturing jobs.

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Chapter 10: Legal Enforcement, Default Protocols & IBC Integration

Enforcement protocols in distressed credit are robustly anchored in statutory law. If a borrower defaults on a restructured distressed facility or Interim Finance note, lenders possess direct, court-tested legal remedies:

1. Interim Finance Super-Priority Enforcement (IBC Section 53)

Under Section 53(1)(a) of the IBC, Interim Finance and insolvency resolution costs hold absolute #1 priority in liquidation. They are paid out in full before workmen's dues, secured creditors, government taxes, or unsecured operational creditors receive any distribution. This statutory super-priority cannot be overridden by any resolution plan or inter-creditor agreement.

2. Demat Share Pledge Invocation (Section 176 Contract Act)

Debenture Trustees holding 100% pledged promoter demat shares in NSDL/CDSL depositories possess statutory powers under Section 176 of the Indian Contract Act, 1872. Upon serving a 3 to 5 day event of default notice, the Trustee can invoke the pledge, transfer shares into its own depository participant account, and execute open-market block sales or transfer controlling equity to a strategic turnaround buyer without requiring prior court intervention.

3. Summary Recovery Suits & Section 25 P&SS Act Criminal Action

Dishonored eNACH mandates or security cheques trigger immediate criminal prosecution under Section 25 of the Payment and Settlement Systems Act, 2007 and Section 138 of the Negotiable Instruments Act, 1881, carrying non-bailable warrants and personal criminal liability for corporate directors alongside fast-track Summary Suits under Order 37 of the Code of Civil Procedure (CPC).

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination chapter contains 15 high-yield, scenario-based practice questions designed to test and confirm complete mastery of Distressed Asset Funding, IBC 2016 statutory provisions, security architecture, and underwriting mathematics.

Q1: What is the primary underwriting distinction between standard commercial bank loans and Distressed Asset Funding?

Answer: Standard bank loans underwrite historical 3-year cash flow, CIBIL Commercial scores, and existing debt ratios. Distressed Asset Funding underwrites asset replacement cost, tangible collateral security coverage (2.0x+), turnaround operational EBITDA, and statutory super-priority legal status under IBC 2016.

Q2: What is 'Interim Finance' under the Insolvency and Bankruptcy Code (IBC), 2016?

Answer: Interim Finance is short-term, super-priority credit raised by the Insolvency Resolution Professional (IRP) or Resolution Professional (RP) under Section 20(2)(b) of the IBC to maintain the corporate debtor as a going concern during CIRP.

Q3: What priority ranking does Interim Finance hold in the IBC liquidation waterfall under Section 53?

Answer: Interim Finance holds Priority 1 ranking under Section 53(1)(a) of the IBC, paid out in 100% full priority before any secured creditors, workmen's dues, statutory tax authorities, or unsecured creditors.

Q4: How does a One-Time Settlement (OTS) Funding facility benefit a distressed corporate borrower?

Answer: OTS Funding provides the upfront cash required to pay a negotiated, discounted settlement (e.g., 40-50 cents on the dollar) to defaulted bank consortiums. Upon payment, banks release all land/plant mortgages, issuing No Dues Certificates and allowing special situation lenders to step into the first exclusive mortgage position.

Q5: What is the purpose of an Escrow Trust & Retention Account (TRA) Cash Waterfall in distressed credit?

Answer: An Escrow TRA traps 100% of gross operational collections into a lender-controlled bank account, enforcing a strict statutory payment hierarchy (Taxes -> Essential O&M -> Senior Distressed Debt -> DSRA -> Cash Sweep) to prevent cash flow diversion.

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Q6: What is the minimum recommended Tangible Asset Cover Ratio (ACR) for underwriting distressed credit?

Answer: Special situation lenders mandate a minimum Tangible Asset Cover Ratio of 2.00x to 3.00x (representing a conservative 33% to 50% Loan-to-Value ratio) to guarantee 100% principal recovery in a worst-case liquidation.

Q7: Explain the 'All-In Yield Equation' for a special situation credit facility.

Answer: All-In YTM (16% - 24%) = Current Cash Coupon (10% - 14%) + Payment-In-Kind (PIK) Deferred Accrual (3% - 5%) + Upfront Fee (1.5% - 3.0%) + Exit Redemption Premium / Equity Kicker (2% - 4%).

Q8: What is a 'Payment-In-Kind' (PIK) coupon and why is it used in turnaround financing?

Answer: A PIK coupon is interest that is not paid in monthly cash but instead accrues and compounds into the principal balance, payable at final maturity. It reduces immediate monthly cash drag during the early 12-24 months of an operational turnaround.

Q9: What statutory provision empowers lenders to sign an Intercreditor Agreement (ICA) for out-of-court resolution?

Answer: The RBI Prudential Framework for Resolution of Stressed Assets (June 7, 2019 Directions), which mandates an ICA signed by lenders representing 75% by value and 60% by number to bind the consortium.

Q10: Which industries are best suited for Distressed Asset Funding in India?

Answer: Capital-intensive, asset-rich sectors such as Specialty Chemicals, Pharmaceuticals, Steel & Metals, Infrastructure/Energy SPVs, and Commercial Real Estate with heavy physical plant assets or long-term off-take contracts.

Q11: How does a Debenture Trustee enforce a demat share pledge upon borrower default?

Answer: Under Section 176 of the Indian Contract Act, 1872, the Trustee serves a 3 to 5 day default notice, invokes the pledged shares in NSDL/CDSL depositories, and executes open-market block sales without requiring court intervention.

Q12: Are cash interest and PIK accruals on distressed debentures tax-deductible for the borrowing company?

Answer: Yes. Under Section 36(1)(iii) of the Income Tax Act, 1961, all interest paid or accrued on borrowed capital used for business operations is 100% tax-deductible as a finance cost.

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Q13: What is the role of National Asset Reconstruction Company Ltd (NARCL) in India's distressed market?

Answer: NARCL acts as India's state-backed 'Bad Bank', acquiring large-value NPA accounts (>= INR 500 Cr) from commercial banks under a 15% cash and 85% Security Receipt (SR) structure backed by central government guarantees.

Q14: What legal protection does Section 14 of the IBC provide to a corporate debtor during CIRP?

Answer: Section 14 imposes an immediate Moratorium upon CIRP admission, prohibiting the institution or continuation of suits, execution of judgments, or enforcement of security interests under SARFAESI against the corporate debtor.

Q15: What is the typical tenure and principal moratorium offered for distressed operational turnaround loans?

Answer: Facility tenures range from 36 to 60 months (3 to 5 years) with an initial 12 to 24 month Principal Moratorium, allowing operational cash flows to focus entirely on plant reactivation before debt principal payback begins.

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